

SHORT SALE and REO ACKNOWLEDGEMENT

In the process of looking at prospective properties to purchase a "Short Sale" or "REO" may appear to be more attractive and be considered to be a better value. "REO" or Bank Owned properties often have been sitting vacant for extended periods of time with less maintenance than occupied properties. In order to assist you, as our client, we are willing to discuss in detail the items listed below in order to offer you a better understanding of the uncertainties that exist in the REO or Short Sale process.

The issues noted below are not all inclusive of the issues that a buyer could be required to deal with in a transaction of this nature. The pursuit of an REO or Short Sale could, in extreme cases, result in significant non reimbursable expenditures, litigation, or the purchase of a property with serious undisclosed defects. At no time are we attempting to offer legal, tax or accounting advice. We strongly recommend that you seek competent advice in those areas.

- Little control over transaction- buyer must remain flexible and patient
- Bank may change the terms of the contract multiple times throughout the transaction
- Valuation by the Bank could be different than the current market value
- Legal documents may be required which are untested in our market area
- Other offers being accepted after yours- buyer could get "bumped" by other offers
- Lack of experienced party on bank side
- Short Sale sellers are not motivated and often cannot or will not make repairs
- Deposit issues- often not immediately refundable
- Expenditure of fees-no recourse
- Sale may never be approved to close
- Home inspection issues-buyer will often be forced to pay prior to bank approval.
- Building code or zoning violation issues- no recourse
- Buyer could be responsible for past utility bills including utility activation fees; and past HOA and related fees
- Vacant properties could become damaged before settlement
- Walk through issues- no recourse
- Multiple lien holders can severely complicate and delay the closing

By signing below I/We acknowledge receipt of this information.

BUYER Date & Time _____

BUYER Date & Time _____

LICENSEE Date & Time _____

SIGHT UNSEEN ADDENDUM

THIS ADDENDUM IS HEREBY MADE A PART OF THE AGREEMENT OF SALE

DATED _____ BY AND BETWEEN

SELLER: _____

BUYER: _____

PROPERTY: _____

The parties acknowledge this Agreement of Sale has been entered into for a property sight unseen by Buyer, and that Buyer has elected not to view the property in person prior to submitting their offer to purchase. Buyer acknowledges that any images provided by the Seller, Listing Broker, or Buyer's Broker electronically or in print may not accurately display the properties features, flaws, or size. Seller, Listing Broker, and Buyer's Broker are not obligated to provide comprehensive photo/video survey of the Property. Any photos provided are at the brokers discretion and may not be an accurate depiction of the current appearance and/or condition of the Property.

The parties hereto agree (check one):

- ☐ This Agreement of Sale **IS CONTINGENT** upon the Buyer's satisfactory viewing of the property within _____ days (hereafter referred to as 'viewing period') of contract ratification. Once viewed, if for any reason the Buyer determines the property to be unsatisfactory, Buyer may within 2 days from the date of such personal viewing declare this Agreement of Sale null and void in writing, in which event all deposits shall be returned to Buyer in accordance with the process explained in paragraph 10 of the Agreement of Sale. Failure of the Buyer to personally view the property within the 'viewing period,' or failure of the Buyer to declare this Agreement of Sale null & void and provide written notice of same to the Seller, or seller's designated agent, within 2 days of Buyer viewing the property, shall constitute a satisfactory viewing of the property by Buyer and satisfaction of this contingency. Seller agrees to grant access to Buyer for viewing during the 'viewing period.'
- ☐ This Agreement of Sale **IS NOT CONTINGENT** upon the Buyer viewing the property and determining it to be satisfactory. The Buyer acknowledges that they have not viewed the property in person prior to entering into this Agreement of Sale, and that they have elected not to make this Agreement of Sale contingent upon a satisfactory personal viewing of the property. Buyer is solely responsible for their decision to enter into this Agreement of Sale for the property sight unseen. All parties agree to hold harmless, defend and indemnify brokers, sales agents and employees affiliated with brokers from any and all claims, demands, suits or actions in any way relating to the Buyer choosing to sign the Agreement of Sale prior to viewing the property.

All other terms and conditions of the Agreement of Sale remain in full force and effect

BUYER

SELLER

BUYER

SELLER